formation and GFCF since the commencement of the Republic in 1950. It confirms a slow rise in the savings rate in the 1960s thanks to a low-income base, which was not even enough to support adequate nutritional consumption. The savings rate rose steadily from a low base in the 1960s to 2000. Savings jumped massively in the first decade of the twenty-first century and then started tapering off. The current savings rate is akin to what we saw in the late 1990s and the early part of the first decade of the twenty-first century.

As per the 2019–20 Economic Survey, India's gross saving rate was 9.5 per cent in 1950–51, 11.6 per cent in 1960–61, 14.3 per cent in 1970–71, 17.8 per cent in 1980–81, 22.9 per cent in 1990–91, 23.7 per cent in 2000–01 and 33.7 per cent in 2010–11. In 2007–08, India recorded a gross savings rate of 36.8 per cent. In 2013–14, it was 32.1 per cent. It fell to 30.3 per cent in 2016–17 and stayed around the same level (30.5 per cent) in 2017–18. In 2018–19, it was close to falling below 30 per cent (recorded 30.1 per cent). And in 2019–20, it actually went below 30 per cent, ending a fifteen-year streak of relatively high savings rates.

Where Are India's Household Savings Deployed?

Households saved about Rs 20 lakh crore (Rs 19.96 lakh crore) in 2018–19. These savings were invested in several financial assets. The largest chunk was deployed in deposits: Rs 7.8 lakh crore with banks; Rs 7.3 lakh crore with non-banks, Rs 0.3 lakh crore with cooperatives and Rs 0.2 lakh crore with other financial institutions. The second most preferred mode of savings was provident and pension funds (Rs 3.96 lakh crore) followed by increase in currency (Rs 2.8 lakh crore), insurance funds (Rs 2.6 lakh crore) and claims on government through small savings and other deposits (Rs 1.99 lakh crore). Savings in shares and debentures (Rs 0.8 lakh crores) was the smallest of the major savings avenues for households.